

HEADLINE JUDGMENT

Note: 29 Jul figures are intraday prints; 28 Jul is now a final close (\$82.08 Brent, down \$3.79 from 27 Jul's \$85.87 — the **third consecutive daily decline** and, cumulatively, \$12.18 off the 23 Jul \$94.26 peak close). Restated continuation series (front-month CO2/CL2) in force. **Score HOLDS at 25/30** — all six channels unchanged, an **eleventh session at 25** — but beneath the flat number the two most consequential things in this edition move in opposite directions. First, the de-escalation survived its biggest scheduled test: the US strike pause held a **fourth consecutive night** (25–28 Jul), the longest of the war, and the Netanyahu–Trump White House meeting produced no resumption signal — an Israeli official called it an 'excellent and comprehensive discussion... first and foremost Iran' with an 'ironclad' nuclear commitment, and the White House framed both of Tuesday's leader meetings as 'positive and productive.' Oman went further, tabling a Malacca-model joint-management framework with *voluntary* vessel fees. Second, Iran hardened its terms in the same 24 hours: the Khatam al-Anbiya Central Headquarters declared on 28 Jul that vessels of any country or company accepting compensation from Iran's frozen assets 'will not be allowed' to transit, and Tehran separately tabled a rival temporary plan giving *itself* greater control of the transit lanes. Crude read the second story: after the 28 Jul close, Brent has bounced to **\$85.04** intraday (H 85.45 / L 83.95, +\$2.96), with the active COA contract back to \$87.61 from Tuesday's \$84.09 close. The reconciliation gap was the widest of the war on the downside — my 28 Jul quote of \$85.40 closed \$3.32 lower — the **third straight session** in which the US leg took the tape below the Asia snapshot, a first. On rates the news is a genuine change of state: for the first time in the war **both** legs of the Treasury channel's downgrade test moved toward release in the same session. The 30Y closed 5.0886%, cutting its cushion above the 5.00% line from 13.65 bp to **8.86 bp** (a third consecutive session toward it), and MOVE's confirmed close fell 1.12 to **76.09** — now just **1.09 pts** above the 75 leg, the closest of the war. Neither has cleared, so nothing moved; but Treasury 5→4 is now the score's most probable next step, and it is a *downgrade*. Stage-4 Threshold B disarmed further: the 10Y's 4.6062% close was a second consecutive print below 4.65%, formally resetting that leg's sustained status, and the 30Y sits 11.14 bp below 5.20%. The gasoline blackout partly cleared and the news is a stall, not a break — AAA's backfilled 27 Jul print came in at **\$4.75, flat**, ending the nine-session run of rises exactly ON the political→5 line without going through it, while the overdue DOE weekly landed at \$4.096 (+9.5¢). The inflation leg edged the wrong way again — 5Y5Y closed 2.2667%, **3.33 bp** from the trigger. No trigger fired on a confirmed close, so no channel moved; with both event channels maxed, the hold remains an artifact of the scale. The FOMC decides at 2pm ET today with hike odds near a third (roughly 32–38%, against 10.7% on 15 Jul) and Chair Warsh's presser at 2:30 — the single event most likely to resolve the Treasury channel in either direction. **Sequencing 25 → 25 → 25.**

1 · Live tape

Oil and natural gas — Bloomberg front-month / active

29 Jul 2026 readings are intraday prints; 28 Jul and earlier are final closes (restated continuation series; front-month CO2/CL2). d/d deltas are 29 Jul intraday vs the 28 Jul close; w/w deltas are vs the 22 Jul close.

Benchmark	Intraday 29 Jul	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
Brent front-month	\$85.04 /bbl (H 85.45 / L 83.95)	+\$2.96 (–\$5.14 w/w)	from \$72.48 (+17.3%) — \$12.56/bbl premium; the first bounce after three straight declines, on Iran's new transit threat; active COA prints \$87.61	CO2 Comdty (Close)
Brent · 28 Jul close (final)	\$82.08 /bbl (–\$3.32 vs my 28 Jul intraday \$85.40)	–\$3.79 d/d — third straight decline ; the US leg took the tape below the Asia snapshot for a third session, a first	\$12.92 below the \$95 trigger on a close basis; \$9.60 above the \$72.48 anchor; active COA closed \$84.09	CO2 Comdty (Close)
WTI front-month	\$79.97 /bbl	+\$2.80 (–\$3.67 w/w)	from \$67.02 (+19.3%) — the CL2 artifact persists: 28 Jul CL2 close \$77.17 vs active CLA \$79.26; CLA prints \$82.42	CL2 Comdty (Close)
Brent–WTI spread	\$5.07 /bbl	+\$0.16	~\$5.2 on the active contracts	derived
Henry Hub natural gas	\$2.651 /MMBtu	–\$0.011 (–\$0.274 w/w)	from \$3.06 (–13.5%) — US gas further BELOW pre-war; not Hormuz-exposed	NGA Comdty (Close)
TTF Dutch gas (active)	€59.11 /MWh	+€1.37 (–€3.43 w/w)	from €31.23 (+89.3%) — bounced with crude after three sessions off the 24 Jul war-era record €63.58	TZTA Comdty (Close)
Japan/Asia LNG (28 Jul close — fresh print)	¥3,418	–¥74 vs the 27 Jul ¥3,492	from ¥1,669 (+104.8%) — a third consecutive easing off the war-era record; no 29 Jul print yet (flagged, not carried)	JGLA Comdty (Close)

US Treasuries and inflation expectations — Bloomberg

29 Jul 2026 yields are intraday. d/d deltas are vs the 28 Jul close; w/w vs 22 Jul. The 10Y logged a second consecutive close below the 4.65% Stage-4 leg, formally resetting it; the 30Y's cushion above its own 5.00% downgrade line narrowed to 8.86 bp on the close. See section 2.1 for the full read.

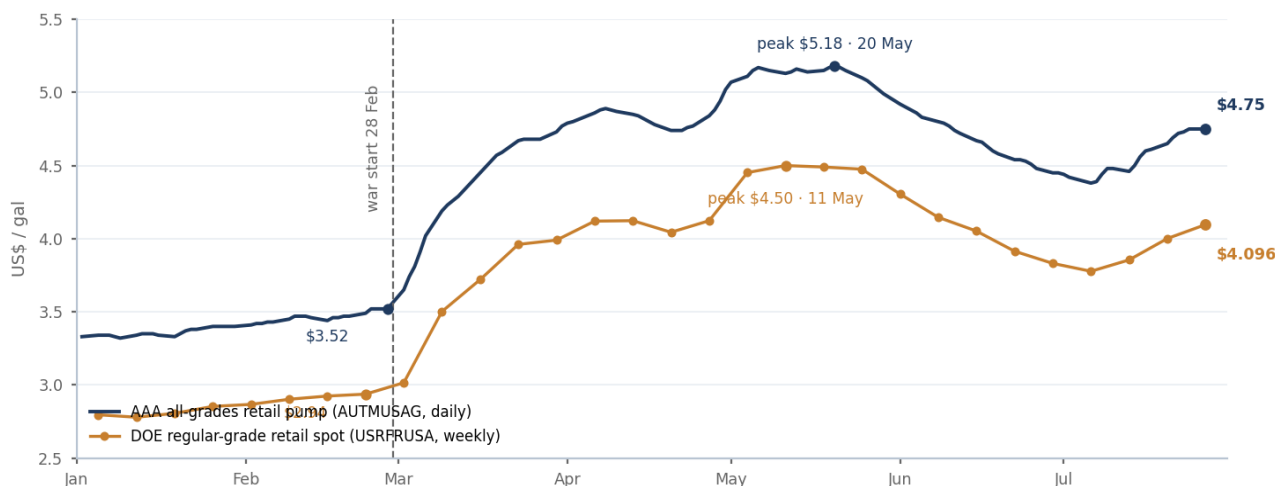
Tenor	Yield (%) — intraday 29 Jul	Δ d/d (bp)	Δ w/w (bp)	Δ vs pre-war (bp)	BBG ticker
2-year UST	4.30	+0.8	–0.3	+92.0 (from 3.37%)	USGG2YR Index
5-year UST	4.38	+0.9	–2.5	+87.7 (from 3.50%)	USGG5YR Index
10-year UST	4.61	+0.8	–4.0	+67.7 (from 3.94%) — 28 Jul close 4.6062%, second consecutive close below the 4.65% Stage-4 leg; the leg's sustained status is reset	USGG10YR Index
30-year UST	5.10	+0.8	–4.8	+48.6 (from 4.61%) — 28 Jul close 5.0886%: 11.14 bp below the 5.20% leg, only 8.86 bp above the 5.00% leg	USGG30YR Index
2s10s spread	+31.7 bp	–0.0	–3.8	–23.9 (flatter) — the flattest of the war	USYC2Y10 Index
10Y breakeven inflation	2.196	+0.0	–8.6	–6.1 (from 2.257%) — 28 Jul close BELOW the pre-war anchor for a third session	USGGBE10 Index
5Y5Y forward inflation	2.263	–0.4	+4.4	+12.1 (from 2.14%) — 28 Jul close 2.2667%, up 0.5 bp; 3.33 bp from the →5 line	USGG5Y5Y Index

Tenor	Yield (%) — intraday 29 Jul	Δ d/d (bp)	Δ w/w (bp)	Δ vs pre-war (bp)	BBG ticker
SOFR (lagged print, 24 Jul)	3.64	—	—	series lags	SOFRRATE Index

Cross-asset stress and political-transmission gauges — Bloomberg

Gauge	Latest	As of	Δ vs pre-war	Interpretation
DXY	101.38	29 Jul intraday	+3.77 (from 97.61)	Flat again on the day; still no haven bid — the dollar remains a bystander, not the stress valve.
MOVE	76.09	28 Jul close (29 Jul lagged)	+2.71 (from 73.38)	Fell 1.12 from 77.21 — now only 1.09 pts above the 75 downgrade leg, the closest of the war.
VIX	18.21	28 Jul close (29 Jul lagged)	−1.65 (from 19.86)	Eased with the crude unwind; still below pre-war.
AAA gasoline	\$4.75 /gal	27 Jul print (backfilled; 28–29 Jul pending)	+\$1.23 (from \$3.52, +34.9%)	Political-stress reference. The backfilled print landed FLAT — the nine-session run of rises ended, still exactly AT \$4.75, not through it.
DOE gasoline	\$4.096 /gal	27 Jul weekly print (backfilled)	+\$1.16 (from −\$2.94, +39.4%)	The overdue weekly landed at +9.5¢ from \$4.001 — corroborates continued pass-through even as AAA stalled.

US retail gasoline — the two tracked series, 2026 year-to-date



AUTMUSAG (AAA all-grades retail pump, daily) is the political-stress score reference (pre-war \$3.52, peak \$5.18, latest \$4.75 on 27 Jul — flat, the first non-rising print in ten sessions); USRFRUSA (DOE regular-grade retail spot, weekly) is the complementary gauge (pre-war −\$2.94, peak \$4.50, latest \$4.096 on 27 Jul, +9.5¢ on the week). Both series backfilled their overdue 27 Jul prints in this extract, closing most of the four-session blackout flagged yesterday; the 28–29 Jul AAA prints are still pending and the channel holds at 4 on confirmed data.

Strait operational state

Indicator	Current reading	Source
Strait closed · day ~151	Closed since 28 Feb; naval blockade plus escort operation fully operational. Transit activity at a war low — one recorded transit on 25 Jul (0 inbound, 1 outbound); 43 Arabian Gulf crude tankers logged AIS gaps 15–22 Jul, the highest single reading in four years and ~25% above the 35-vessel baseline; 24 dark tankers in the Kharg eastern waiting area (26 Jul).	Windward / straits.live / IMF PortWatch
US strikes ON HOLD — four quiet nights (25–28 Jul)	The longest pause of the war, after 13 consecutive nights of strikes. Pentagon and White House keep the 'on a hold' framing; the blockade is unchanged. Iran's own retaliation remains paused.	DoD / White House / Bloomberg / NPR
Netanyahu–Trump, 28 Jul — no resumption signal	Closed-press meeting; an Israeli official described 'an excellent and comprehensive discussion... first and foremost Iran' and an 'ironclad' commitment against an Iranian nuclear weapon. The White House called Tuesday's leader meetings 'positive and productive.' Trump had earlier dismissed Netanyahu's Pickaxe Mountain briefing: 'I don't need Bibi to tell me that.'	UPI / Jerusalem Post / The Forward / NBC
Iran hardens transit terms — 28 Jul	Khatam al-Anbiya Central Headquarters: vessels of any country or company accepting compensation from Iran's frozen assets 'will not be allowed' to transit. Iran separately tabled a temporary Hormuz plan giving itself greater control of the transit lanes.	Xinhua / Washington Times / US News
Mediation — Oman tables a Malacca-model framework	Omani FM Badr Al Busaidi chaired a GCC virtual ministerial on freedom of navigation and maritime security. Oman's proposal is joint management with <i>voluntary</i> vessel fees — explicitly not unilateral Iranian control, and distinct from the mandatory toll Washington rejected. Nothing signed.	The National / Oman MFA / Fortune
Red Sea / Saudi front — quiet since 25 Jul	No new Houthi action since the Jizan refinery fire and the Yanbu intercepts. Yanbu loadings remain ~40% below the pre-19 Jul run rate (5.16 → 3.09 mb/d); Bab al-Mandeb transits 17 in / 14 out on 25 Jul vs 20 / 19 prior.	Windward / Al Jazeera / TechTimes

2 · US economic shock — analysis with bond yields

The US economic shock holds at 25/30 for an eleventh session, but the composition of the standstill changed materially. On the geopolitical side the de-escalation cleared its highest hurdle: the strike pause reached a fourth night, and the Netanyahu visit — the single most plausible reset event on the calendar — came and went without a resumption signal, while Oman put an actual joint-management framework on the table. On the Iranian side the terms hardened in the same 24 hours, with the Khatam al-Anbiya command threatening transit denial over the frozen-asset compensation scheme and Tehran countering Oman's draft with a plan that concentrates control in its own hands. Crude priced the second story, bouncing \$2.96 off a 28 Jul close that had itself fallen \$3.79. The more important development is on rates. Until this session the Treasury channel's two downgrade legs had been moving apart — the 30Y toward release, MOVE away from it. On the 28 Jul close they moved together for the first time: the 30Y cut its cushion above 5.00% to 8.86 bp and MOVE fell to 76.09, 1.09 pts from its own line. Neither cleared and neither has sustained, so the channel held at 5 — but a 5→4 downgrade is now the most probable next move in the score, and the FOMC decision at 2pm ET today, with hike odds near a third and a new Chair holding only his second meeting, is the event most likely to settle it in one direction or the other.

2.1 · Bond-yield transmission

29 Jul yields are intraday; d/d vs the 28 Jul close, w/w vs 22 Jul. No channel moved; score held at 25.

(i) Treasury — held at 5; for the first time in the war both downgrade legs moved toward release together. The 30Y closed 28 Jul at 5.0886% — 8.86 bp above the 5.00% downgrade leg, narrowed from 13.65 bp on Monday and 15.74 bp on 24 Jul — a third consecutive session toward its own release line; it prints 5.0969% this morning (9.69 bp) as the curve backs up marginally into the FOMC. MOVE, which had ticked the wrong way on 27 Jul, reversed: the confirmed 28 Jul close fell 1.12 to 76.09, leaving it 1.09 pts above the 75 leg — the closest approach of the war. Both legs must clear *simultaneously and sustain* to downgrade, so nothing has moved; but the arithmetic is now within a single strong session on each. The FOMC is the binary: hike odds have risen to roughly 32–38% from 10.7% on 15 Jul, and Warsh's framing — 'no tolerance for persistently elevated inflation,' 'prices are too high' — cuts against a dovish surprise, though June payrolls of 57k against 115k expected complicate the case for acting now. A hawkish outcome re-arms the long end from below; a dovish or neutral one puts Treasury 5→4 genuinely in play within the week.

(ii) Inflation anchor — held at 4; the approach resumed, marginally. 5Y5Y closed 28 Jul at 2.2667%, up 0.5 bp from Monday's 2.2617% and now 3.33 bp from the 2.30% line on a close basis, with the intraday at 2.2627% (3.73 bp). That is a second-order move against Friday's 1.2 bp approach, but the direction turned back toward the trigger while crude was falling — a divergence worth watching, since it points at the FOMC and the pass-through story rather than at spot energy. The corroboration is unchanged: the 10Y breakeven closed 2.1955%, below its pre-war anchor for a third consecutive session, consistent with the curve pricing medium-term persistence rather than a near-term spike, and AAA gasoline's backfilled print stalled rather than accelerated. One close above 2.30% starts the clock; a second consecutive close confirms and takes the channel to 5/5 and the score to 26. The downgrade (sustained at or below the 2.142% anchor, 12.1 bp away) is not in play.

(iii) Oil — held at 2; the close-basis gap to \$95 widened to \$12.92 before this morning's bounce narrowed it to \$9.96. Three consecutive daily declines took Brent from the 23 Jul \$94.26 peak close to \$82.08, a \$12.18 unwind, and the active COA contract from \$100.69 to \$84.09. The 29 Jul intraday reverses part of that — \$85.04, up \$2.96, with COA at \$87.61 — on Iran's frozen-asset transit threat and its rival Hormuz plan, which together reintroduce the risk that the Oman framework stalls on terms rather than on violence. The two-close rule held the channel at 2 through the entire \$95 approach and now spares it a symmetric whipsaw on the way down and back up: a downgrade to 1 still needs a mediated pause AND a close at or below the \$72.48 anchor, \$9.60 away on the 28 Jul close. That is the closest the downgrade has been since early July, and if the Oman framework is signed it becomes the live question rather than the upgrade. (OPEC+'s modest August quota increase and the CPC Black Sea drone-strike risk remain the supply-side crosscurrents; Yanbu loadings are still running ~40% below their pre-19 Jul rate.)

2.2 · What would push the shock to Stage 4

Stage 4 is a credit/auction event. Threshold B is now disarmed on both legs — the 10Y's second consecutive sub-line close formally reset its sustained status, and the 30Y sits 11.14 bp below its own leg.

Threshold A · 13 May 30Y auction. Historical. Cleared at 5.050%; the 9 Jul re-opening cleared 5.06% with a 0.3 bp stop-through. The 30Y still trades above both marks, but by the least since that auction. No coupon supply until the August refunding, so today's FOMC statement and presser are the week's only long-duration pricing events.

Threshold B · 30Y above 5.20% with 10Y above 4.65%. Now disarmed on both legs. The 10Y closed 4.6062% on 28 Jul — 4.38 bp below the line and a *second* consecutive sub-line close, which formally resets the three-close-above run of 22–24 Jul; it prints 4.6144% intraday, still 3.56 bp below. The 30Y closed 5.0886%, 11.14 bp below its own leg, the widest gap since 16 Jul. B re-arms on a hawkish FOMC, a strike resumption, or a landed hit on the Saudi export corridor; nothing else on this week's calendar reaches it.

Threshold C · MOVE above 130. Far off — 76.09 on the last confirmed close, and now moving down rather than up. The same print that pushes C further away brings the Treasury channel's own downgrade closer; the two read the same number in opposite directions.

2.3 · Cross-asset

The unwind ran a third session and then stopped. Crude, European gas and Asia LNG all fell again into the 28 Jul close (Brent \$82.08, TTF €57.74, JGLA ¥3,418) and all three bounced this morning or held — Brent +\$2.96, TTF +€1.37 — on Iran's transit threat rather than on any change in the strike picture. The Treasury curve rallied through the close and gave a little back intraday, the dollar was flat for a second session at 101.38, and MOVE finally followed spot risk lower after two sessions of refusing to. That last point is the meaningful one: rates vol and spot risk are repricing together again, which is what makes the Treasury channel's two-leg downgrade a live proposition instead of a theoretical one. US Henry Hub is now 13.5% BELOW pre-war, its widest discount of the war — the Hormuz/LNG-routing signature, not a global-energy shock, in its clearest form yet. The political channel's data fog partly lifted: both gasoline series backfilled their 27 Jul prints, and both said the same thing — pass-through continuing (DOE +9.5¢ on the week) but the daily pump series stalling exactly at the trigger.

3 · Shock score

Total: **25/30** — CRISIS band. Band thresholds: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis.

Channel	Score	Rationale	Triggers
Maritime denial	5/5	Held at 5 (max). Strait closed to commercial traffic, day ~151; transit activity at a war low (one recorded transit on 25 Jul); 43 Arabian Gulf crude tankers with AIS gaps 15–22 Jul, a four-year high; 24 dark tankers in the Kharg waiting area; blockade and escort operation fully operational despite the pause. Iran's new frozen-asset transit threat narrows access further, not less.	↑ at max. ↓ verified reopening (escorted convoys) with traffic above 25% of normal for 10 sessions → to 3–4.
Oil price shock	2/5	Held at 2. 28 Jul close \$82.08 (–\$3.79, third straight decline), \$12.92 below the \$95 trigger and \$9.60 above the \$72.48 anchor — the closest the <i>downgrade</i> has been since early July. Intraday \$85.04 (+\$2.96) on Iran's transit threat; active COA \$87.61 vs Tuesday's \$84.09 close.	↑ Brent above \$95 sustained → to 3. ↓ mediated pause + close at/below the \$72.48 anchor → to 1.
US inflation impulse	4/5	Held at 4 — the approach resumed. 5Y5Y closed 2.2667% (+0.5 bp from Monday), 3.33 bp from the line; intraday 2.2627%. The turn back toward the trigger came while crude was falling, pointing at the FOMC rather than spot energy. 10Y breakeven closed 2.1955%, below its pre-war anchor for a third session.	↑ 5Y5Y sustained above 2.30% → to 5. ↓ 5Y5Y sustained at/below the 2.142% pre-war anchor → to 3.
Treasury stress	5/5	Held at 5 — but both downgrade legs moved toward release in the same session for the first time in the war. 30Y closed 5.0886%, cushion above the 5.00% leg cut from 13.65 bp to 8.86 bp (third consecutive session toward it); MOVE's confirmed close fell 1.12 to 76.09, 1.09 pts above its 75 leg. Neither cleared and neither has sustained, so nothing moved — but this is now the score's most probable next step, and it is a downgrade.	↑ at max. ↓ 30Y close under 5.00% with MOVE under 75 sustained → to 4.
Political stress	4/5	Held at 4 — the blackout cleared and the answer was a stall. AAA's backfilled 27 Jul print came in at \$4.75, FLAT, ending the nine-session run of rises exactly ON the trigger without going through it; 28–29 Jul are still pending. The overdue DOE weekly landed at \$4.096, +9.5¢, corroborating continued pass-through. Evaluated on confirmed prints only.	↑ gasoline above \$4.75 sustained → to 5. ↓ toward the \$3.52 pre-war level → to 3.
Escalation risk	5/5	Held at 5 (max). The pause reached a fourth night and the Netanyahu visit produced no resumption signal — the strongest de-escalation sequence of the war — but Iran hardened its transit terms in the same 24 hours and no mediated stand-down has been declared. A fourth quiet night and a competing draft framework are steps toward a downgrade, not the event.	↑ at max. ↓ mediated stand-down + talks resume → to 4–3.
TOTAL	25/30	CRISIS band — an eleventh session at 25. The geopolitical tape produced its best 24 hours of the war (fourth quiet night, Netanyahu visit without a reset, an actual Omani framework tabled) and Iran answered by hardening its terms; crude split the difference. The substantive change is on rates: both Treasury downgrade legs moved toward release together for the first time, making 5→4 the score's most probable next step — and today's FOMC can move two market channels at once.	

4 · What's changed since the last edition (28 Jul → 29 Jul AM)

Score holds at 25/30 for an eleventh session. No channel moved — but the Treasury channel's downgrade test came within one strong session on both legs. Source: Bloomberg.

The strike pause reached a fourth consecutive night and survived the Netanyahu visit. No new US strikes 25–28 Jul — the longest pause of the war, following 13 consecutive nights of attacks. The Netanyahu–Trump White House meeting on 28 Jul was closed-press; an Israeli official described 'an excellent and comprehensive discussion on the key issues of the day, first and foremost Iran' and an 'ironclad' commitment against an Iranian nuclear weapon, and the White House called the day's leader meetings 'positive and productive.' No resumption signal emerged; the naval blockade is unchanged. Source: DoD / White House / UPI / Jerusalem Post / NBC.

Oman tabled a Malacca-model framework — and Iran countered with its own. Omani FM Badr Al Busaidi chaired a GCC virtual ministerial on freedom of navigation; Oman's proposal is joint management with voluntary vessel fees, explicitly barring unilateral Iranian control. Tehran countered with a temporary plan giving itself greater control of the lanes. Nothing is signed, and the gap is now over terms rather than over whether to talk. Source: The National / Oman MFA / US News / Fortune.

Iran threatened transit denial over the frozen-asset compensation scheme. The Khatam al-Anbiya Central Headquarters said on 28 Jul that vessels of any country or company accepting compensation from Iran's frozen assets 'will not be allowed' to transit, rejecting responsibility for vessel damage. This is the proximate driver of this morning's crude bounce. Source: Xinhua / Washington Times / Press TV (Tier 3, corroborated).

Crude posted a third consecutive daily close decline, then bounced. Brent: \$94.26 (23 Jul) → \$91.68 → \$85.87 → **\$82.08** (28 Jul, –\$3.79), a \$12.18 unwind, with the active COA contract down from \$100.69 to \$84.09. The 29 Jul intraday reverses part of it at \$85.04 (+\$2.96), COA \$87.61. TTF closed €57.74 and prints €59.11; Asia LNG printed fresh at ¥3,418 (–¥74). Source: Bloomberg.

Both Treasury downgrade legs moved toward release together — a first. The 30Y closed 5.0886%, cutting its cushion above the 5.00% leg from 13.65 bp to 8.86 bp in a third consecutive session toward the line; MOVE's confirmed close fell 1.12 to 76.09, now 1.09 pts above its 75 leg, the closest of the war. Neither cleared; the channel held at 5. Source: Bloomberg.

Stage-4 Threshold B disarmed on the 10Y leg. The 10Y closed 4.6062% — a second consecutive close below the 4.65% line after the three-close-above run of 22–24 Jul — which formally resets the leg's sustained status. The 30Y closed 11.14 bp below its own 5.20% leg, the widest since 16 Jul. Source: Bloomberg.

The gasoline blackout cleared, and the pump series stalled at the trigger. AAA's backfilled 27 Jul print landed at \$4.75 — flat, ending nine consecutive rises exactly ON the political→5 line. The overdue DOE weekly landed at \$4.096, +9.5¢ from \$4.001. The 28–29 Jul AAA prints

remain pending. Source: AUTMUSAG / USFRUSA via Bloomberg.

The FOMC decides today. Statement 2pm ET, Warsh's presser 2:30 — his second meeting. Hike odds are roughly 32–38% against 10.7% on 15 Jul; the June dot plot had 9 of 18 officials projecting a 2026 hike, while June payrolls came in at 57k against 115k expected. Source: CME FedWatch / Morningstar / CBS News.

5 · Scenario map · next 7 to 30 days

Scenario	P	Description	Market path
Return to full war	26%	Still the modal path but weakening for a third straight edition: a fourth quiet night, a Netanyahu visit that produced no reset, and an actual Omani framework on the table. The administration's posture is unchanged and the pause remains revocable, but the calendar's biggest reset risk has now passed without one.	Brent \$105–140; MOVE above 90; oil to 3–4, political to 5, US-inflation to 5; score 28–30.
Mediated pause — the ceasefire sticks	23%	The strongest version of this scenario all war and now within a point of modal: four consecutive quiet nights, a concrete Omani joint-management draft with voluntary fees, GCC ministerial backing, and a Netanyahu meeting that did not reset Washington. Needs Iran to accept a framework it does not control.	Brent \$74–85; MOVE under 72; Treasury→4, US-inflation→3, escalation→4; score falls toward 19–21.
Deal collapse — talks stall on terms	20%	Raised: the dispute has migrated from whether to talk to who controls the lane. Iran's rival plan and its frozen-asset transit threat both point at a framework that stalls on terms rather than on violence — the version of failure this week actually risks.	Brent \$92–108; oil back to 3; 30Y back above 5.15% toward the 5.20% leg; score 26–27.
Contained but violent — blockaded stalemate	18%	Strikes stay paused at low intensity, escort-only transits continue, and neither the Omani nor the Iranian draft is adopted — nothing is resolved and the blockade holds indefinitely.	Brent \$82–92; MOVE 72–82; risk premium \$10–20/bbl; score holds 24–25.
Regional relapse — Gulf energy infrastructure hit	13%	No Houthi action since 25 Jul and the front has been quiet for four days, but the demonstrated capability against Jizan and the near-miss at Yanbu stand, and Yanbu loadings are still ~40% below their pre-19 Jul rate. A single landed hit on the export corridor reactivates it.	Brent \$150+; emergency policy response; HY spreads above 500 bp; score 29–30.

Probability shifts from the 28 Jul edition: mediated pause +3 (20→23) — a fourth quiet night plus a Netanyahu meeting that produced no reset is the strongest de-escalation sequence of the war; deal collapse +2 (18→20) — the failure mode has migrated from violence to terms; full war –3 (29→26) — still modal but weakening for a third edition; regional relapse –2 (15→13) on four quiet days on the Saudi front; contained-but-violent unchanged (18). Driver: the calendar's biggest reset risk passed without a reset, but the negotiation moved from access to control.

6 · Watchlist · next 24 to 72 hours

FOMC · statement 2pm ET today, Warsh presser 2:30. The session's dominant event and the one most likely to resolve the Treasury channel. Hike odds roughly 32–38% against 10.7% on 15 Jul; Warsh has said the Fed has 'no tolerance for persistently elevated inflation' and that 'prices are too high,' but June payrolls of 57k against 115k expected cut the other way. A hawkish outcome re-arms the long end and Stage-4 B; a dovish or neutral one puts Treasury 5→4 in play within the week and 5Y5Y back toward its own trigger.

Treasury →4 (downgrade) — 8.86 bp and 1.09 pts away, both legs moving. The first session of the war in which the 30Y and MOVE moved toward release together. A 30Y close under 5.00% with MOVE under 75, sustained, takes the channel to 4 and the score to 24 — the first downgrade since 9 Jul.

Political →5 (\$4.75) — AT the line, and the run has stalled. The backfilled 27 Jul AAA print was flat, ending nine consecutive rises exactly on the threshold; 28–29 Jul are pending. With crude down three sessions the pump series may roll over before it breaks through — the DOE weekly's +9.5¢ argues the other way. Unresolved either direction.

US-inflation →5 (5Y5Y above 2.30% sustained) — 3.33 bp, resuming. The 28 Jul close turned back toward the trigger while crude fell. Whether the FOMC extends that turn is the channel's live question.

Whether Iran accepts a framework it does not control. Oman's draft is joint management with voluntary fees; Iran's counter concentrates control in its own hands, and the frozen-asset transit threat is a second lever on the same question. Acceptance collapses escalation risk and probably oil with it; rejection is the deal-collapse path.

Whether the pause reaches a fifth and sixth night. Four nights is the longest of the war and nothing in the Netanyahu readout signalled resumption; a strike overnight reprices everything back in at full amplitude.

Yanbu re-attack risk — the demonstrated tail, dormant four days. Jizan proved reach and Yanbu's intercepts held once; loadings are still ~40% below their pre-19 Jul rate. A hit that lands on the export corridor reprices crude, breakevens and bond vol together.

Gas complex — verify the next JGLA print fresh. Asia LNG ¥3,418 on the 28 Jul close, a third consecutive easing; no 29 Jul print yet — never carried forward.

7 · Source log · this edition

Tier 1 — primary market data. Bloomberg Terminal extract (US Iran BBG Data.xlsx, restated front-month continuation series). Tickers: CO2/CL2 Comdty (front-month; the CL2 artifact persists — CL2 closed \$77.17 vs active CLA \$79.26; WTI is read off the active board); COA/CLA Comdty (active, unscored — COA closed \$84.09, prints \$87.61); NGA/TZTA/JGLA (JGLA printed fresh 28 Jul at ¥3,418, –¥74; no 29 Jul print, flagged not carried); USGG2YR/5YR/10YR/20YR/30YR; USYC2Y10; USGGBE10 (2.1955 — below the pre-war anchor for a third session); USGG5Y5Y (2.2667 — 3.33 bp from the →5 trigger); SOFRRATE (lagged, 24 Jul, 3.64%); MOVE and VIX (28 Jul closes 76.09 / 18.21; 29 Jul lagged, carried and labelled); DXY; AUTMUSAG (AAA pump — score reference; 27 Jul print backfilled at \$4.75, flat; 28–29 Jul pending) and

USFRUSA (DOE regular spot, weekly — corroboration; overdue 27 Jul print backfilled at \$4.096).

Tier 1 — news and institutional. US DoD / White House via NPR, CBS News and Bloomberg (strike pause held a fourth consecutive night; 'on a hold' framing; naval blockade fully operational), UPI / Jerusalem Post / NBC News / The Forward / Al Jazeera (Netanyahu–Trump White House meeting 28 Jul — closed press, 'positive and productive,' Iran 'first and foremost'), The National / Oman Ministry of Foreign Affairs / Fortune / Bloomberg (Oman's Malacca-model joint-management proposal with voluntary vessel fees; Badr Al Busaidi's GCC virtual ministerial; the Iran–Oman technical track), US News (Iran's rival temporary Hormuz plan giving itself greater control of transit lines), Xinhua / Washington Times / ANI (Khatam al-Anbiya Central Headquarters statement of 28 Jul), CME FedWatch via Morningstar / CBS News / Kiplinger (FOMC hike odds roughly 32–38% against 10.7% on 15 Jul; June dot plot 9 of 18 for a 2026 hike; June payrolls 57k vs 115k expected; Warsh's 14 Jul testimony and Sintra remarks), Windward / straits.live / IMF PortWatch (one recorded Hormuz transit on 25 Jul; 43 Arabian Gulf tankers with AIS gaps 15–22 Jul, a four-year high; 24 dark tankers in the Kharg waiting area; Yanbu loadings 5.16 → 3.09 mb/d after 19 Jul), Al Jazeera / TechTimes citing NASA FIRMS (Jizan refinery fire and Yanbu intercepts of 25 Jul — no further exchange since), Bloomberg / TradingEconomics (OPEC+ August quota increase; CPC Black Sea drone-strike risk persists).

Tier 3 — state media and combatant claims (labelled). The Khatam al-Anbiya Central Headquarters statement is an Iranian military declaration of intent, reported by Xinhua and Press TV and corroborated by Tier 1 outlets; it is treated as a stated policy position, not a verified change in transit access, and is used here only to explain the crude bounce, not to move a channel. Iran's earlier claim to 'control' the strait remains a negotiating-posture claim. The Houthis claim to the Jizan and Yanbu strikes is a combatant claim — the Jizan fires are corroborated by satellite thermal data. IRNA and Mehr not used this edition.

8 · On-demand update protocol

#	Step	Detail
1	Refresh the Bloomberg extract	Parse the latest dated row (29 Jul) as intraday; reclassify 28 Jul as a final close; re-map columns via the robust scan (front-month CO2/CL2; both gasoline series checked — AAA and DOE both backfilled their 27 Jul prints, AAA 28–29 Jul still pending; JGLA checked fresh, printed 28 Jul ¥3,418, no 29 Jul print, flagged not carried; MOVE/VIX 29 Jul lagged, 28 Jul closes carried and labelled; SOFR lagged 24 Jul).
2	Recompute deltas	d/d vs the 28 Jul close; w/w vs the close five trading sessions back (22 Jul this edition); vs-pre-war vs the 27 Feb 2026 anchor (re-verified, unchanged).
3	Re-evaluate the six channels	Market channels move on confirmed closes only — all held: oil 2 (close \$82.08, \$12.92 below \$95, \$9.60 above the anchor); Treasury 5 (30Y 5.0886% above 5.00%, cushion 8.86 bp; MOVE 76.09 above 75 by 1.09 — both legs moving toward release for the first time); US-inflation 4 (5Y5Y 2.2667%, 3.33 bp under 2.30%); political 4 (AAA \$4.75 confirmed, flat, exactly on the line). Maritime/escalation event-based, both maxed — a fourth quiet night and a Netanyahu meeting without a reset are steps, not a mediated stand-down.
4	Reconcile against the prior edition	The US session took the tape DOWN through the Asia snapshot for a THIRD consecutive session — a first — and by the widest margin of the war: Brent \$85.40 → close \$82.08 (–\$3.32); WTI \$79.77 → \$77.17; 10Y 4.6345% → 4.6062%; 30Y 5.1239% → 5.0886%; Henry Hub \$2.751 → \$2.662. Two series went the other way: TTF €56.98 → €57.737 and 5Y5Y 2.2603% → 2.2667%.
5	Update scenarios and watchlist	Re-rank catalysts: the FOMC (2pm ET today) is dominant; Treasury→4 (8.86 bp and 1.09 pts, both legs moving) replaces political→5 as the nearest score move; US-inflation→5 3.33 bp and resuming; whether Iran accepts a framework it does not control. Mediated pause 20→23, deal collapse 18→20, full war 29→26, regional relapse 15→13.

9 · Methodology

Shock-score scale. Six transmission channels (maritime denial, oil, US inflation impulse, Treasury stress, political stress, escalation risk), each 0–5, summed to 0–30. Bands: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis. Market channels move only on a confirmed close through a trigger; escalation-risk is event-based. **Hysteresis note:** upgrades fire on a sustained break; downgrades only on a sustained reversal past a wider threshold — deliberately, to avoid whipsawing. This edition is the clearest test of that discipline on the downside so far: the Treasury channel's two downgrade legs both moved toward release in the same session (30Y 8.86 bp above 5.00%, MOVE 1.09 pts above 75), and the channel still held at 5, because the rule requires both legs to clear simultaneously AND to sustain. The same rule worked in the other direction on oil, which held at 2 through a \$95 approach four sessions ago and through a \$12.18 unwind since. Stage-4 Threshold B's 10Y leg, by contrast, has now formally reset: two consecutive closes below 4.65% undo the three-close-above run of 22–24 Jul. **Scale cap:** maritime and escalation are both at 5/5, so neither the pause's extension to a fourth night nor a Netanyahu meeting that produced no reset (already-maxed channels) can move the score — only the four market channels can, in either direction.

Gasoline series. Political-stress is scored on AUTMUSAG (AAA all-grades retail pump; pre-war \$3.52, peak \$5.18, latest confirmed print \$4.75 on 27 Jul — flat, ending nine consecutive rises exactly on the \$4.75 threshold); the 28–29 Jul prints are pending and the channel holds until confirmed — per the discipline established after the JGLA stale-carry episode, a missing print is flagged, never carried forward. Both series backfilled their overdue 27 Jul prints here, which is why yesterday's four-session blackout has partly cleared. USFRUSA (DOE regular spot; pre-war ~\$2.94, peak \$4.50, latest \$4.096 on 27 Jul, +9.5¢) is tracked alongside.

Pre-war anchor (27 Feb 2026 close). Brent \$72.48; WTI \$67.02; 2Y 3.375%; 5Y 3.502%; 10Y 3.938%; 30Y 4.611%; 2s10s +55.64 bp; 5Y5Y 2.142%; 10Y BE 2.257%; MOVE 73.38; VIX 19.86; DXY 97.608; gasoline (AAA) \$3.52; Henry Hub \$3.06; TTF €31.23; Asia LNG ¥1,669. (Re-verified — unchanged.) Brent +17.3%, WTI +19.3%, TTF +89.3%, Asia LNG +104.8%; the 30Y (+48.6 bp), 10Y (+67.7 bp), 5Y5Y (+12.1 bp), MOVE (+2.71) and DXY (+3.77) sit above their anchors; the 10Y breakeven (–6.1 bp) is below its anchor for a third session; VIX and Henry Hub remain below pre-war, Henry Hub at –13.5%.

Intraday caveat. The latest dated row is a Singapore-AM snapshot; US hours set the close (recent Brent gaps: +\$1.91, +\$0.60, +\$3.10, –\$1.81, –\$2.01, –\$3.32 — 28 Jul was the THIRD straight close below the snapshot, a first, and the widest downside miss of the war). MOVE and VIX carry the 28 Jul closes, labelled; the UST curve printed live; JGLA and AAA had no 29 Jul print and are flagged, not carried; CL2 remains an artifact against active CLA. Triggers are evaluated on confirmed closes; escalation-risk is event-based. Restated-series levels are not comparable with pre-restatement editions, though the directional analysis is continuous.